



Q3FY26 HDFC Bank Ltd.



HDFC BANK Ltd.

Stable performance with balanced growth and with pristine asset quality.

CMP INR 928	Target INR 1,149	Potential Upside 23.8%	Market Cap (INR Bn) INR 14,245.3	Recommendation BUY	Sector Banking
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Result Highlights

- HDFC Bank delivered a steady Q3 FY26 performance characterized by resilient core earnings, strong capital buffers, and stable asset quality, albeit against a backdrop of elevated funding costs and structural cost pressures. NII of INR 326,150 mn came almost in-line with our estimate of INR 327,450 mn, reflecting slightly higher funding costs and mix effects versus our assumptions.
- Operating profit (PPOP) stood at **INR 270,978 mn**, down **3.0% QoQ** but up **8.4% YoY**, broadly in line with our estimate of INR 270,904 mn, as controlled other operating expenses offset softer NII even as profitability was partly moderated by higher employee costs related to the implementation of the New Labour Codes.
- Standalone PAT came in at **INR 186,538 mn**, nearly flat (**0.1% QoQ**) but up **11.5% YoY**, sustaining healthy year-on-year momentum despite regulatory and cost headwinds. PAT was modestly ahead of our estimate of INR 184,138 mn, aided by lower-than-expected provisions and a favorable tax outcome.
- On the balance sheet, momentum remained intact: **average advances grew 2.5% QoQ and 9.0% YoY**, while **average deposits increased 1.5% QoQ and 12.2% YoY**, reflecting balanced growth across assets and liabilities.
- Asset quality remained robust with GNPA at **1.24%** and NNPA at **0.42%**, and capital adequacy at **19.9%**. The bank also built an **INR 90,000 mn floating provision during 9MFY26**, underscoring a conservative risk stance.
- CASA deposits grew by 10.1%, with savings balances at INR 6,617 bn and current account deposits at INR 2,995 bn. Time deposits increased 12.3% YoY to INR 18,989 bn as of December 31, 2025, resulting in CASA forming 33.6% of total deposits.
- Within the loan book, retail advances grew 6.9% YoY, small and mid-market enterprise loans rose 17.2% YoY, and corporate and other wholesale advances increased 10.3% YoY. Overseas advances accounted for 1.7% of total advances.

Valuation and Outlook

HDFC Bank delivered a resilient Q3 performance characterized by steady balance-sheet expansion and stable asset quality, albeit with margin pressures. Overall, the quarter reflected durable franchise strength and prudent risk management, but limited near-term earnings momentum due to elevated cost of funds.

For FY27, management expects to outpace the system's projected 12–13% credit growth. The bank remains focused on a calibrated credit–deposit ratio trajectory, targeting 85–90% by FY27 through deeper retail deposit granularity and disciplined pricing.

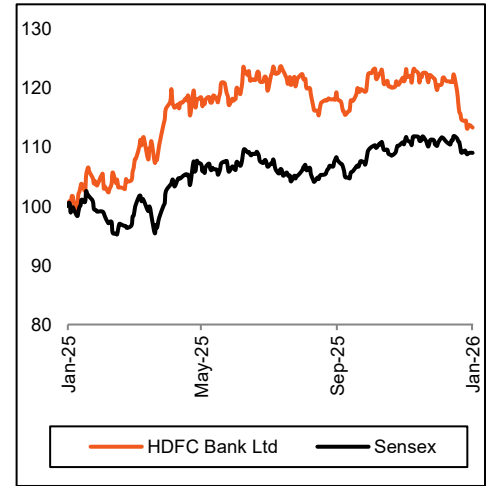
We value HDFC Bank's standalone business at INR 880.0 per share (based on 1.9x FY28E ABV), while we value its stake in the subsidiaries at INR 269.0 per share, implying a SOTP target price of INR 1,149. Accordingly, we revise our rating from "ACCUMULATE" to "BUY" on the stock.

KEY FINANCIALS

Particulars (INR Mn)	FY24	FY25	FY26E	FY27E	FY28E
NII	10,85,325	12,26,701	12,92,184	14,85,605	17,13,335
PPOP	9,43,874	10,01,275	11,71,532	12,76,732	14,82,762
PAT	6,08,123	6,73,474	7,32,058	8,27,987	9,59,747
BVPS (INR / Share)	576.0	650.3	365.3	419.3	481.9
NIM (%)	3.9%	3.6%	3.3%	3.3%	3.3%
Advances Growth YoY (%)	55.2%	5.4%	13.7%	14.1%	13.0%

Source: Company, DevenChoksey Research

SHARE PRICE PERFORMANCE



MARKET DATA

Shares outs (Mn)	15,385
Mkt Cap (INR Bn)	14,245
52 Wk H/L (INR)	1,020/813

*Based on previous closing
Note: All the market data is as of previous closing

SHARE HOLDING PATTERN (%)

Particulars (%)	Dec-25	Sept-25	Jun-25
Promoters	n/a	n/a	n/a
FIIIs	47.7	48.4	48.8
DIIIs	37.0	36.1	35.8
Others	15.3	15.5	15.4
Total	100.0	100.0	100.0

8.3%

NII CAGR
between FY25-27E

10.6%

PAT CAGR
between FY25-27E

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Key Con-call Highlights:

Macro outlook

- Management described a constructive domestic macro backdrop with stable politics, consistent policy, and India among the fastest-growing major economies. Inflation was characterized as “subdued and well-managed,” while liquidity conditions were acknowledged as tight during the quarter, prompting RBI open market operations and FX swaps.
- Growth momentum is strong across manufacturing, services, autos, tractors, and card spends (discretionary up 21% YoY), but management flagged that future liquidity conditions are not fully predictable. They expect overall liquidity to stabilize post trade-related flows and see a supportive environment for credit growth into FY27.

Balance Sheet Strategy

- Loan growth was described as balanced across segments, aided by CRR release and an easing rate cycle. On deposits, management emphasized rate discipline over volume at any cost, prioritizing granular retail liabilities rather than chasing bulk. Individual branch retail deposits grew in “solid double digits,” while institutional deposits were mid-single digit.
- On LDR, management reiterated a downward glide path, not a hard target. They expect LDR to move toward the “low 90s” over 1–2 years, with a broad FY27 range of 85–90% (plus/minus around 88–91%), depending on liquidity. FY26 is likely to settle around 92–96%. They stressed direction matters more than quarter-to-quarter moves and said LDR will not constrain lending.

Margin (NIM) Dynamics

- Cost of funds declined by ~10–11 bps QoQ, driven by lagged TD repricing (only ~2/3 of the 125 bps policy cuts have flowed through). Management said full transmission takes about five quarters. Borrowings remain ~13% of liabilities (versus ~6–7% industry), leaving room for further cost improvement.
- CASA growth remains a key lever, linked to deeper product engagement rather than pricing alone. Management expressed a clear “line of sight” to gradual improvement.

Asset Quality, Recoveries, and Provisioning Posture

- Asset quality was termed “pristine,” with decade-low slippages. Ex-agri slippages were ~25 bps per quarter (similar to prior periods). Net credit cost, after recoveries, is ~37 bps, which management sees as steady rather than worsening.
- On agri compliance, the bank took INR 5 billion of provisions in December (already absorbed in results). Management said this stemmed from calibration around “scale of finance” definitions and is part of ongoing regulatory alignment, not a systemic issue.

ROA Trajectory and Key Levers

- Historical ROA was referenced around ~1.9% even during aggressive branch expansion. Future ROA improvement levers include: (1) lower cost of funds via TD repricing, (2) reduced borrowings mix, and (3) stronger CASA from multi-product relationships (cards, mortgages, autos).

Segment-Level Commentary

- Unsecured/PL: No stress signals; growth balanced and disciplined.
- Mortgages: Not price-led; relationship-led. Mortgage customers typically start with ~₹35k balances and scale 2–2.5x in 12–18 months, with potential to reach ~5x over time.
- Credit Cards: Strategy tilted toward transactors, not revolvers; revolvers are ~2/3 of pre-2020 levels. Cards drive ~20–25% of incremental deposit momentum.
- Auto: >80% “self-funded” via linked liability balances; bank remains the largest auto financier by book and disbursements.
- Agri/SME/MSME: Healthy sowing, strong reservoirs, and supportive rural indicators; no emerging stress pockets.

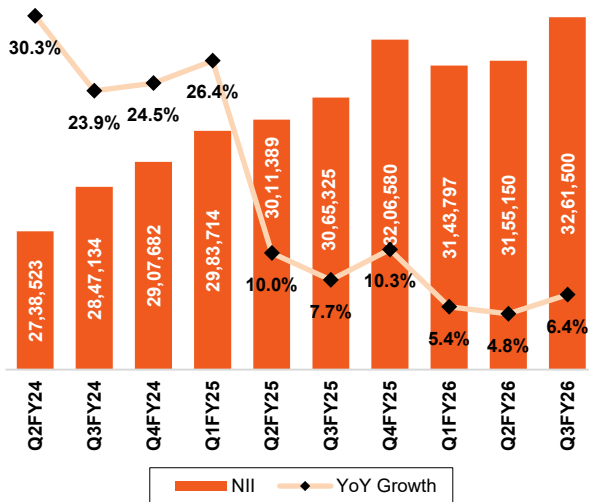
Key Takeaways

- Deposit engine improving structurally: young branches are hitting productivity inflection; retail granular deposits are outperforming.
- LDR glide path intact: FY26 likely 92–96%; FY27 broadly 85–90% without constraining loan growth.
- NIM improvement is mechanical, not heroic: driven by lagged TD repricing and lower borrowings over time.
- Credit costs normalized: ~25 bps slippages and ~37 bps net credit cost look sustainable.
- Cards works as a liability acquisition tool: transactor-led model boosts balances while keeping risk contained.
- Loan growth FY27 likely couple hundred bps above system (assuming system 12–13%).

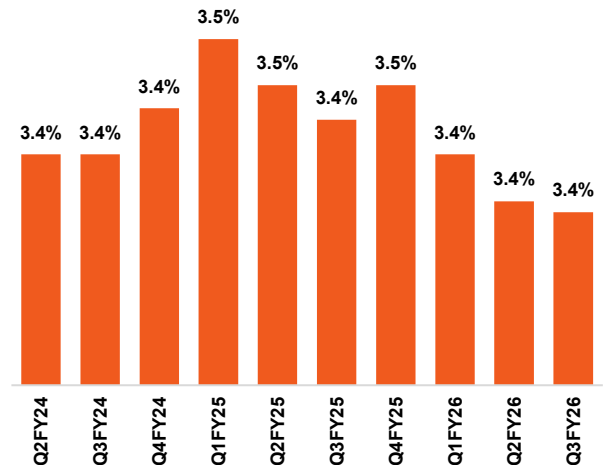
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Story in Charts

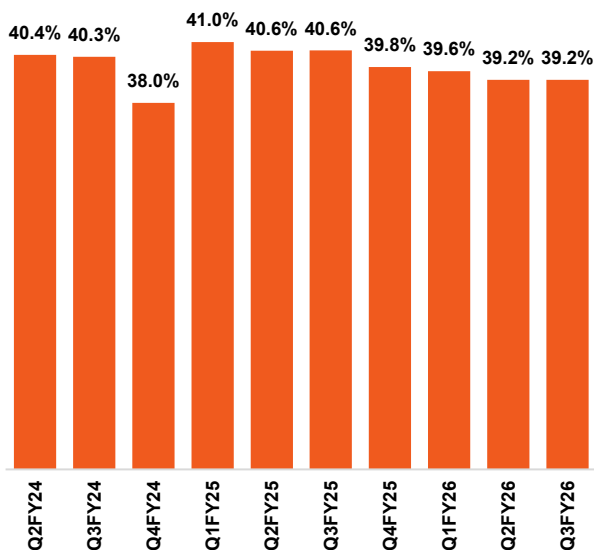
NII growth slowed down as NIMs compressed due to RBI rate cuts(%)



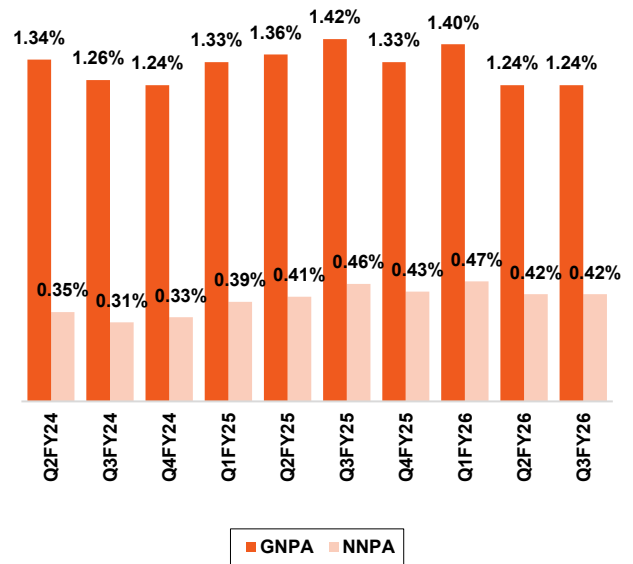
Delayed repricing of TD led to compression in NIMs



Cost to Income ratio sustained



Asset Quality remained pristine over the time



Source: Company, DevenChoksey Research

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Result Snapshot

Particulars (In Mn)	Q3FY26	Q2FY26	Q3FY25	QoQ	Y-o-Y
Income Statement					
Interest income	7,67,512	7,66,907	7,60,069	0.1%	1.0%
Interest expense	4,41,362	4,51,392	4,53,536	-2.2%	-2.7%
Net interest income	3,26,150	3,15,515	3,06,533	3.4%	6.4%
Non interest income	1,32,538	1,43,500	1,14,536	-7.6%	15.7%
Total income	4,58,688	4,59,015	4,21,068	-0.1%	8.9%
Employee costs	72,032	64,613	59,504	11.5%	21.1%
Other operating expenses	1,15,679	1,15,166	1,11,560	0.4%	3.7%
Operating expenses	1,87,710	1,79,779	1,71,064	4.4%	9.7%
Pre-provision profit	2,70,978	2,79,236	2,50,004	-3.0%	8.4%
Provisions	28,379	35,005	31,539	-18.9%	-10.0%
Profit before tax	2,42,599	2,44,231	2,18,466	-0.7%	11.0%
Tax expense	56,062	57,818	51,111	-3.0%	9.7%
Net profit	1,86,538	1,86,413	1,67,355	0.1%	11.5%
Balance sheet analysis					
Deposits	2,86,00,546	2,80,17,888	2,56,37,950	2.1%	11.6%
CASA Deposits	96,12,000	94,91,000	87,25,000	1.3%	10.2%
CASA (%)	33.6%	33.9%	34.0%	-27bps	-42bps
Advances	2,82,14,465	2,74,63,598	2,51,82,482	2.7%	12.0%
Total Assets	4,08,89,873	4,00,30,084	3,75,89,645	2.1%	8.8%
Capital adequacy ratio (%)	20.0%	20.0%	20.0%	0bps	-1bps
Spread Analysis					
Yield on avg advances (%)	8.5%	8.6%	9.5%	-13bps	-102bps
Yield on avg interest earning assets (%)	8.0%	8.2%	8.7%	-15bps	-64bps
Cost of funds (%)	5.3%	5.5%	5.8%	-21bps	-56bps
Asset quality					
Gross NPA	3,51,790	3,42,895	3,60,184	2.6%	-2.3%
Net NPA	1,19,818	1,14,473	1,15,875	4.7%	3.4%
GNPA (%)	1.24%	1.24%	1.42%	0bps	-18bps
NNPA (%)	0.42%	0.42%	0.46%	0bps	-4bps
PCR (%)	65.9%	66.6%	67.8%	-68bps	-189bps
Key ratios					
Cost to income ratio (%)	40.9%	39.2%	40.6%	176bps	30bps
C/D ratio (%)	98.7%	98.0%	98.2%	63bps	43bps
RoA (%) (Annualized)	1.92%	1.96%	1.88%	-4bps	4bps

Source: Company, DevenChoksey Research

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Financials:

Exhibit 1: Profit & Loss Statement

INR Mn	FY25	FY26E	FY27E	FY28E
Interest Income	30,05,170	31,24,277	35,21,737	40,06,660
Interest Expense	17,78,470	18,32,093	20,36,132	22,93,324
Net Interest Income	12,26,701	12,92,184	14,85,605	17,13,335
Non-interest income	4,56,323	6,09,547	6,88,511	8,08,042
Operating income	16,83,024	19,01,731	21,74,116	25,21,377
Operating Expense	6,81,749	7,30,199	8,97,384	10,38,615
PPOP	10,01,275	11,71,532	12,76,732	14,82,762
Provisions	1,16,494	2,35,038	1,72,750	2,03,100
PBT	8,84,781	9,36,494	11,03,982	12,79,662
Tax Expense	2,11,307	2,04,436	2,75,996	3,19,916
PAT	6,73,474	7,32,058	8,27,987	9,59,747
Diluted EPS (INR)	44.1	47.7	54.0	62.6

Exhibit 2: Balance Sheet

INR Mn	FY25	FY26E	FY27E	FY28E
Source of Funds				
Share capital	7,652	15,385	15,385	15,385
Reserves & Surplus	49,68,542	55,86,720	64,14,707	73,74,454
Net worth	49,76,194	56,02,105	64,30,092	73,89,838
Borrowings	54,79,309	52,52,892	60,50,542	70,50,768
Deposits	2,71,47,149	3,08,99,366	3,55,91,422	4,14,75,104
Other liabilities & provisions	14,61,285	23,30,727	22,09,278	12,57,789
Total Equity & Liabilities	3,91,01,989	4,40,85,090	5,02,81,332	5,71,73,499
Uses of Funds				
Cash & Balance with RBI	14,43,550	22,40,204	25,80,378	30,06,945
Other Bank and Call Money	9,52,156	9,26,981	10,67,743	12,44,253
Net investments	83,63,597	89,60,816	1,03,21,512	1,20,27,780
Loans & advances	2,61,96,086	2,97,75,752	3,39,60,378	3,83,59,369
Fixed assets	1,36,554	1,43,495	1,45,495	1,47,495
Other assets	20,10,046	20,37,842	22,05,826	23,87,657
Total Assets	3,91,01,989	4,40,85,090	5,02,81,332	5,71,73,499

Source: Company, DevenChoksey Research

Exhibit 3: Key Ratios

Key Ratio	FY25	FY26E	FY27E	FY28E
Growth Rates				
Advances (%)	5.4%	13.7%	14.1%	13.0%
Deposits (%)	14.1%	13.8%	15.2%	16.5%
Total assets (%)	8.1%	12.7%	14.1%	13.7%
NII (%)	13.0%	5.3%	15.0%	15.3%
Pre-provisioning profit (%)	6.1%	17.0%	9.0%	16.1%
PAT (%)	10.7%	8.7%	13.1%	15.9%
B/S Ratios				
Credit/Deposit (%)	96.5%	96.4%	95.4%	92.5%
CASA (%)	34.8%	36.8%	36.8%	35.0%
Advances/Total assets (%)	67.0%	67.5%	67.5%	67.1%
Leverage - Total Assets to Equity	7.86	7.87	7.82	7.74
Operating efficiency				
Cost/income (%)	40.5%	38.4%	41.3%	41.2%
Opex/total assets (%)	1.7%	1.7%	1.8%	1.8%
Opex/total interest earning assets	2.0%	1.9%	2.0%	2.0%
Profitability				
NIM (%)	3.6%	3.3%	3.3%	3.3%
RoA (%)	1.8%	1.8%	1.8%	1.8%
RoE (%)	14.4%	13.8%	13.8%	13.9%
Asset quality				
Gross NPA (%)	1.3%	1.3%	1.4%	1.4%
Net NPA (%)	0.4%	0.4%	0.4%	0.4%
PCR (%)	67.9%	70.0%	71.0%	72.0%
Slippage (%)	1.3%	1.3%	1.3%	1.2%
Credit cost (%)	0.5%	0.8%	0.5%	0.6%
Per share data / Valuation				
EPS (INR)	88.0	47.7	54.0	62.6
BVPS (INR)	650.3	365.3	419.3	481.9
ABVPS (INR)	635.5	357.6	410.3	472.0
P/E (x)	20.8	19.4	17.2	14.8
P/BV (x)	2.8	2.5	2.2	1.9
P/ABV (x)	2.9	2.6	2.3	2.0

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Date	CMP (INR)	TP (INR)	Recommendation
20-Jan-26	928	1,149	BUY
20-Oct-25	1,004	1,149	ACCUMULATE
25-Jul-25	2,014	2,274	ACCUMULATE
22-Apr-25	1,962	2,076	ACCUMULATE
23-Jan-25	1,665	1,934	BUY
22-Oct-24	1,729	1,934	ACCUMULATE
23-Jul-24	1,643	1,860	ACCUMULATE

Rating Legend (Expected over a 12-month period)	
Our Rating	Upside
Buy	More than 15%
Accumulate	5% – 15%
Hold	0 – 5%
Reduce	-5% – 0
Sell	Less than – 5%

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